

The complaint

Mr S is unhappy that Ocaso SA, Compania de Seguros y Reaseguros (Ocaso) added an exclusion to his buildings and contents policy and refused to pay his claim for flood damage.

What happened

Mr S took out a buildings and contents policy with Ocaso through a price comparison site. His house flooded during a wet storm when drains in the surrounding roads were unable to cope with the volume of rainwater. Mr S claimed under his policy but Ocaso declined because he'd incorrectly stated on his application through the online comparison site that his home was more than 400 metres from a river.

While Mr S accepted he'd made a mistake, he complained to Ocaso because the river wasn't the cause of the flood and he didn't think it was relevant to his claim. Ocaso explained that if it had been aware his home was close to a river, it wouldn't have provided flood cover. Ocaso considered this to be a careless qualifying misrepresentation, under the law on misrepresentation, which entitled it to add a flood exclusion to the policy retrospectively and decline his claim because of this.

Mr S brought his complaint to us because he thought Ocaso should consider his claim under storm cover.

I issued a provisional decision in July 2021 explaining that I was intending to not uphold Mr S's complaint. Here's what I said:

"I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

I understand this will come as a great disappointment to Mr S, but I've provisionally decided not to uphold his complaint. I'm genuinely sorry to hear of the damage to his home and the loss he and his family incurred. But I must be fair to both sides and I can't fairly say that Ocaso has done anything wrong by declining his claim for the reason it gave. I'll explain.

The relevant law in this case is The Consumer Insurance (Disclosure and Misrepresentation) Act 2012 (CIDRA). This requires consumers to take reasonable care not to make a misrepresentation when taking out a consumer insurance contract (a policy). The standard of care is that of a reasonable consumer.

And if a consumer fails to do this, the insurer has certain remedies provided the misrepresentation is - what CIDRA describes as - a qualifying misrepresentation. For it to be a qualifying misrepresentation the insurer must show it would have offered the policy on different terms or not at all if the consumer hadn't made the misrepresentation.

CIDRA sets out a number of considerations for deciding whether the consumer failed to take reasonable care. And the remedy available to the insurer under CIDRA depends on whether the qualifying misrepresentation was deliberate or reckless, or careless.

Ocaso thinks Mr S failed to take reasonable care not to make a misrepresentation when he said in his policy application that his home was more than 400m away from a river, and confirmed on his statement of fact that his home was over 200m away.

I've looked at the evidence, including the questions asked, and I'm satisfied that there are some points in the overall complaint which don't appear to be in dispute. So, I've taken the following statements to be an accurate reflection of the circumstances:

- *Mr S suffered loss caused by rainwater flooding his home.*
- *Mr S's home is within 80 metres of a river.*
- *When Mr S took out the policy, he declared on his statement of fact that it wasn't within 200 metres of a river.*
- *Had Mr S made the correct statement, Ocaso would've applied a flood exclusion clause.*
- *The river wasn't the cause of the flood.*
- *Torrential rain caused surface water to overwhelm drains resulting in localised flooding.*

Mr S said he didn't realise how close the river was to his home because it was obscured by a block of flats. So, he believed he was correct in saying on his application that his home was more than 400m from a river and, therefore, more than 200m as recorded on his statement of fact. However, Mr S was responsible for taking reasonable care to give accurate information, and Ocaso could reasonably expect Mr S to do so. By making this declaration, I'm satisfied that Mr S carelessly misrepresented the facts.

Ocaso provided evidence of its underwriting criteria showing that if Mr S had told it his home was within 200m (occasionally reported as 400m) of a river, it would've still offered the policy. But it would've looked at whether his home was in an area designated as a flood risk by the relevant authority and, if so, applied an exclusion.

This means the misrepresentation was a qualifying one – it would've made a difference to the policy offered.

I'm satisfied Mr S's misrepresentation should be treated as careless, so I've looked at the actions Ocaso can take in accordance with CIDRA. The law allows an insurer to act as it would've done had the consumer taken reasonable care not to misrepresent their circumstances. This includes treating the insurance policy as if it had been entered on the terms the insurer would've applied without the misrepresentation.

As explained above, had Ocaso known about Mr S's proximity to the river, it would've assessed the flood risk. Ocaso provided evidence from the relevant authority's assessment that Mr S's home was in a flood risk area before he took out the policy, so it applied the following exclusion:

"The Flood Exclusion Clause - Endorsement 011 – states:

It is hereby agreed that Section One (Buildings) and Section Two (Contents) of this insurance do not cover:

- a) The escape of water from the normal confines of any natural or artificial watercourse, lake, reservoir, canal or dam;*
- b) Inundation from the sea; Or*
- c) Flood resulting from storm or tempest or any other peril other than escape of water from fixed water tanks, apparatus or pipes"*

Ocaso said it would've added the flood exclusion on to the policy from the start and I think it's fair that Ocaso assesses Mr S's claim for flood damage with this exclusion taken into

consideration. This means I'm satisfied that Ocaso is acting reasonably by treating it as a careless qualifying misrepresentation and not paying Mr S's claim for flood damage.

The dispute, then, arose because Ocaso declined Mr S's claim under the above policy exclusion. But Mr S thinks Ocaso should've considered his claim under the terms for storm rather than flood cover.

So, accepting that Ocaso wouldn't have covered Mr S for flood damage, I've thought about whether his claim for storm damage is reasonable. His policy provides cover under Section One (Buildings) and Section Two (Contents) for: "3. Storm, Tempest or Flood", but the clause that Ocaso retrospectively applied to his policy specifically excludes "flood resulting from storm". So, I can't see that the outcome of his claim would've been any different if Ocaso had considered it as storm damage.

Moving on, Ocaso said that Mr S's claim shouldn't be accepted as a flood caused by an escape of water, and it's here that I agree. The flood exclusion provides an exception for any flood caused by "escape of water from fixed water tanks, apparatus or pipes", which is an insured peril under point 4, Section One and Section Two of the policy. It's clear to me that this isn't part of the exclusion because it covers floods caused by escape of water from within the home, unrelated to external weather conditions. I don't think it's fair to interpret the escape of water peril to include floods caused by external drains which couldn't cope with the demand of torrential rainfall. The water was prevented from entering the drains due to its volume, which doesn't fall within a reasonable definition of escape of water.

To simplify my reason for not upholding this complaint, I've applied the 'but for' test: but for the torrential rain (storm), the drains wouldn't have been overwhelmed and the house wouldn't have flooded. Therefore, Mr S's house flooded because of a storm and the retrospective policy exclusion based on the proximity of the river applies here. I'm satisfied that Ocaso handled the claim in line with the terms of the policy and I see no reason at present to ask it to pay the claim."

I said I was minded not to uphold the complaint and I asked both parties to send me any further comments and information they might want me to consider before I reached a final decision.

Ocaso had nothing further to add.

Mr S responded to say that the distance from the river to his house was irrelevant because the flood water didn't originate from the river.

What I've decided – and why

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

I understand the point Mr S is making – the river didn't cause his home to flood so he doesn't see why damage caused by flooding from another source should be excluded. But the fact is, he didn't tell Ocaso when he took out the policy that his home was near a river. So Ocaso assessed the risk and sold the policy based on incorrect information.

If Ocaso had received the correct information from Mr S and applied a condition excluding cover just for river flooding, then it might've been reasonable to accept his claim for flooding caused by excessive surface water. But that's not the case. The condition Ocaso would've applied, and did apply retrospectively, excluded flood resulting from storm. I don't think

there's any dispute that the surface rainwater was only there because of the torrential downpour – that is, a storm.

So, I'm satisfied that Mr S wouldn't have been covered for the flood damage if he'd provided the correct information when he bought the policy. Ocaso applied the exclusion retrospectively in line with the remedies available to it under CIDRA, and I see no reason why it should settle the claim.

My final decision

For the reasons I've explained above, and in my provisional decision, I don't uphold Mr S's complaint.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mr S to accept or reject my decision before 6 September 2021.

Debra Vaughan
Ombudsman